ZCAS UNIVERSITY

SCHOOL OF COMPUTING AND APPLIED SCIENCES

CIT3361 Business Continuity and Recovery Management

End of Semester Final Examination

Friday 30th May 2025

14:00 – 17:00 HOURS

TIME ALLOWED: **WRITING – THREE (3) HOURS**
READING – 5 MINUTES

INSTRUCTIONS:

1. Section A: This question is **compulsory** and must be attempted.
2. Section B: Answer **THREE (3)** questions from this section.
3. This examination paper carries a total of **100 marks.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

SECTION A

Answer the following question.

Scenario:

A global financial institution, ABSA Bank, operates in multiple countries and has a large customer base. To ensure continuous operations and minimize risk, ABSA Bank has implemented a Business Continuity Management (BCM) program. The program is based on industry standards. The bank's BCM team conducts regular risk assessments, business impact analyses, and exercises to ensure preparedness. The team also develops and maintains business continuity plans, trains employees, and conducts awareness programs. ABSA Bank's BCM program is audited annually to ensure compliance with industry standards. The bank's goal is to minimize downtime, ensure customer satisfaction, and protect its reputation. By implementing a robust BCM program, ABSA Bank aims to be resilient and responsive to disruptions. The bank's BCM program is aligned with international standards, ensuring consistency and best practices.

Required:

a) Explain what industry standards ABSA Bank based its Business Continuity Management program on. **(5 Marks)**

b) Provide the primary goal of ABSA Bank's Business Continuity Management program. **(5 Marks)**

c) What is the purpose of conducting regular risk assessments and business impact analyses? **(5 Marks)**

d) What is the role of the BCM team in ensuring employee preparedness? **(5 Marks)**

e) What is the purpose of annual audits of ABSA Bank's BCM program? **(5 Marks)**

f) How often does ABSA Bank review and update its business continuity plans? **(5 Marks)**

g) What is the benefit of aligning ABSA Bank's BCM program with international standards? **(5 Marks)**

h) What is the ultimate goal of ABSA Bank's Business Continuity Management program? **(5 Marks)**

[Total 40 Marks]

SECTION B

Choose any three questions from this section.

QUESTION 2.

Alpha Corporation, a leading manufacturer of consumer goods, has recently experienced a series of disruptions, including supply chain failures, natural disasters, and cyber-attacks. These events have resulted in significant financial losses, reputational damage, and a decline in customer trust. In response, Alpha Corporation's management has decided to build a robust Business Continuity Capability (BCC) to ensure the organization's resilience and ability to respond to future disruptions.

Required:

a) Give key components of a Business Continuity Capability (BCC) that Alpha Corporation should consider building to ensure its resilience and responsiveness to future disruptions. **(4 Marks)**

b) Explain how you would conduct a business impact analysis (BIA) to identify Alpha Corporation's critical business processes and assess the potential consequences of disruptions. **(3 Marks)**

c) Provide the essential elements of a business continuity plan (BCP) that Alpha Corporation should develop to ensure effective response and recovery from disruptions. **(4 Marks)**

d) How would you design and implement a training and awareness program to ensure that Alpha Corporation's employees understand their roles and responsibilities in the BCC? **(3 Marks)**

e) State the key performance indicators (KPIs) that Alpha Corporation should use to measure the effectiveness of its BCC and explain how you would monitor and report on these metrics. **(3 Marks)**

f) Explain how you would ensure that Alpha Corporation's BCC is aligned with industry best practices and international standards and remains compliant with relevant regulations and laws. **(3 Marks)**

[Total: 20 Marks]

QUESTION 3.

Omega Inc., a global financial services company, has implemented a Business Continuity Planning (BCP) program to ensure continuous operations and minimize risk. The company's BCP team has identified potential risks and developed strategies to mitigate them. However, the team is struggling to quantify the potential impact of disruptions on the organization's operations and reputation. To address this, the team has decided to conduct an impact analysis to assess the potential financial and non-financial consequences of disruptions on the organization.

Required:

a) Provide the key components of an impact analysis that the BCP team should consider when assessing the potential consequences of disruptions on Omega Inc.'s operations and reputation? **(4 Marks)**

b) State how you would conduct a financial impact analysis to quantify the potential costs of disruptions on Omega Inc.'s operations, and what metrics would you use to measure the impact. **(3 Marks)**

c) Give the non-financial consequences of disruptions that the BCP team should consider in the impact analysis, and how you would measure their impact on the organization's reputation and stakeholders. **(4 Marks)**

d) Explain how you would use scenario planning to identify potential future disruptions and assess their potential impact on Omega Inc.'s operations and reputation. **(3 Marks)**

e) Stipulate the advantages and limitations of using quantitative vs. qualitative methods in impact analysis, and state how you would select the appropriate method for Omega Inc.'s BCP program. **(3 Marks)**

f) Describe how you would present the findings of the impact analysis to Omega Inc.'s senior management and board of directors, and what recommendations you would make to enhance the organization's BCP program. **(3 Marks)**

[Total: 20 Marks]

QUESTION 4.

ABC Corporation, a leading manufacturer of electronic components, has implemented a Business Continuity Management (BCM) program to ensure continuous operations and minimize risk. As part of its BCM program, ABC Corporation conducts regular testing, auditing, and training exercises to ensure the effectiveness of its business continuity plans. The company's BCM team conducts annual table-top exercises to test its crisis management plan, and bi-annual drills to test its emergency response plan. Additionally, ABC Corporation engages a third-party auditor to conduct an annual audit of its BCM program, identifying areas for improvement and ensuring compliance with industry standards. The company also provides regular training and awareness programs for its employees, ensuring that they are equipped to respond to disruptions and emergencies.

Required:

a) Provide the key performance indicators (KPIs) that ABC Corporation's BCM team should use to measure the effectiveness of its testing exercises, and how you would prioritize them. **(5 Marks)**

b) Explain how you would conduct a gap analysis to identify areas for improvement in ABC Corporation's BCM program, and what tools or frameworks you would use to support this process. **(3 Marks)**

c) Describe the role of employee training and awareness programs in ensuring the success of ABC Corporation's BCM program, and how you would design and deliver these programs to maximize their impact. **(3 Marks)**

d) How would you conduct a cost-benefit analysis to justify the investment in ABC Corporation's BCM program, and what metrics would you use to measure its return on investment (ROI)? **(3 Marks)**

e) Give the key elements of a robust audit program for ABC Corporation's BCM program, and state how you would ensure that the audit process is independent, objective, and transparent. **(3 Marks)**

f) How would you integrate ABC Corporation's BCM program with its overall risk management framework, and what benefits would this integration bring to the organization? **(3 Marks)**

[Total: 20 Marks]

QUESTION 5.

A severe storm hits the headquarters of a software company, causing significant damage to the building and disrupting operations. The company's management team activates its Business Continuity Plan (BCP) and begins the Recovery Phase to restore critical business operations and return to normalcy.

Required:

a) Provide the main goal of the Business Continuity Recovery Phase in this scenario. **(3 Marks)**

b) Give the first step the management team should take during the Recovery Phase to get the company back up and running. **(3 Marks)**

a) What is the most important thing to consider when restoring operations during the Recovery Phase to ensure the company's employees and customers are protected? **(3 Marks)**

b) How should the company communicate with its stakeholders, including employees, customers, and suppliers, during the Recovery Phase? **(3 Marks)**

c) Explain what the company should do with its damaged equipment and furniture during the Recovery Phase. **(3 Marks)**

d) What is the final step the management team should take after completing the Recovery Phase to prevent similar disruptions in the future? **(3 Marks)**

[Total: 20 Marks]

END OF EXAMINATION